COURSE

## Leaving Certificate Business (current syllabus)

# Sources of finance

**Unit 4: Managing 2 · 4.1 Main sources of finance, cost of finance; 5.3–5.5 equity and loan capital**

Revision for Unit 4: Managing 2: each firm works it out on its own deals, in euros.

Class **Leaving Certificate Business** Topic **Sources of finance**

THE LESSON

| | |
|---|---|
| **Setup** | 2 min |

**Round 1** — Decisions 3 min · Deals 5 min · Topic tasks 4 min

| | | | |
|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 1 **Total to pay back** | TASK 2 **Drawbacks of shares** |

**Round 2** — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

| | | | | |
|---|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 3 **Rank total interest** | TASK 4 **Loan or shares** | **B2B deal** |

**Round 3** — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

| | | | | |
|---|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 5 **Buy or lease** | TASK 6 **Loan cost with fee** | **B2B deal** |

| | |
|---|---|
| **Final questions** | 3 min |

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** | Buy property or funds. The value can rise or fall. |
| **Operations** | **Buying** | Hire the Procurement Specialist or the Stock Controller for the round. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

Same interest every year.

**Total to pay back?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Loan | **€45,500** |
| Interest, each year | **3%** |
| Repaid over | **3 years** |

METHOD

**Total = loan + years × yearly interest**

€45,500 + 3 × €1,365 = €49,595

**Why:** The loan costs €4,095 in interest.

## Task 2

ROUND 1

You plan to sell shares to pay for a second site.

**Which two are drawbacks for the owners?**

PICK TWO

- ○ Interest to pay each month
- ○ It raises the firm's gearing
- ✔ **Less control of the firm**
- ✔ **Profit shared out as dividends**
- ○ The money must be repaid

**Why:** New owners share control and profit; equity has no interest or repayment.

## Task 3

ROUND 2

Three loans, simple interest.

**Order by total interest, cheapest first?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **€30,000 at 4% for 2 years**
2. **€15,000 at 10% for 2 years**
3. **€20,000 at 6% for 3 years**

**Why:** Interest: €2,400, €3,000, €3,600.

## Task 4

ROUND 2

Loan or new shares?

**Dividends minus loan interest, a year?**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| Money needed | **€60,000** |
| Loan interest, each year | **9%** |
| Shares sold | **500 shares** |
| Dividend per share | **€20** |

METHOD

**Difference = shares × dividend − loan interest**

500 × €20 − 9% × €60,000 = €4,600

**Why:** The shares cost €4,600 more each year.

## Task 5

ROUND 3

You need €25,000 of diagnostic kit for two years only.

**How should you get it, and why?**

PICK A OR B AND GIVE A REASON

- ○ Buy it with a loan
- ✔ **Lease it**

**Why:** Leasing avoids a big outlay for an asset you need only for a while.

## Task 6

ROUND 3

Loan with a set-up fee.

**Yearly cost with the fee, as a % of the loan?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Loan | **€26,000** |
| Interest, each year | **8%** |
| Arrangement fee | **€2,080** |
| Repaid over | **4 years** |

METHOD

**Yearly cost % = interest % + fee ÷ years ÷ loan × 100**

€2,080 ÷ 4 ÷ €26,000 = 2%; 8% + 2% = 10%

**Why:** The fee adds 2% a year to the rate.

# Final questions

**6**
questions for each pupil

**50**
questions in the Irish set

**7**
of them on sources of finance

**The game draws 6 questions from the lesson topic "Loans and investments"; these 7 are about sources of finance.**

1 The Growth Facility gives €50,000 at 10% interest. How much is repaid in total?
**€55,000**

2 The Stock Facility is €25,000 at 10% repaid in 2 instalments. How much is each instalment?
**€13,750**

3 You borrow €10,000 on the Quick Loan (10%, one instalment) to buy a car for €10,000 that sells for €13,000. After the loan and the VAT, what is left of the deal?
**€1,439**

4 Your firm took the Growth Facility: €50,000 in, €55,000 to repay. How does the loan show in the net position just after drawing it?
**Cash up by €50,000, debt up by €50,000: the net position is unchanged by the draw.**

5 You drew the Quick Loan (€10,000, 10%) and can repay now from cash. What does repaying early do?
**It clears the €11,000 debt from the net position; the interest is still paid.**

6 The Quick Loan is €10,000 at 10% in one instalment. What is the instalment?
**€11,000**

7 You take the Stock Facility (€25,000, 10%) to buy two cars for €12,500 each and sell them for €15,000 each. After interest and VAT, does the loan pay?
**Yes: margins €5,000, minus €2,500 interest, minus VAT of €934, leaves €1,566.**